



HINDUSTAN COPPER LIMITED
(A Government of India Enterprise)

**EXPRESSION OF INTEREST (EOI) FOR ENGAGEMENT OF MINE DEVELOPMENT
& OPERATIONS (MDO) FOR RE-OPENING & EXPANSION OF RAKHA COPPER
MINE, DEVELOPMENT OF A NEW UNDERGROUND MINE AT CHAPRI-
SIDESHWAR AND COMMISSIONING OF A NEW CONCENTRATOR PLANT AT
GHATSILA, JHARKHAND**

No.: HCL/M&C/EoI/MDO/Chapri_Rakha/2020/01 Dated 28.01.2020

Invitation for Submission of Expression of Interest (EoI) for engagement of Mine Development & Operations (MDO) for Re-opening and Expansion of Rakha Copper Mine, Development of a new underground mine at Chapri-Sideshwar and Commissioning of a new Concentrator Plant at Ghatsila, Jharkhand

Hindustan Copper Limited (HCL) is a Government of India Enterprise under the administrative control of Ministry of Mines. It was incorporated on 9th November 1967 under Companies Act 1956.

HCL has following lease areas across India which is as below:

Sl	State	Particulars	Area (in hectare)
1	Rajasthan	Khetri Copper Mine	395.07
2		Kolihan Copper Mine	163.23
3		Chandmari Copper Project	148.45
4	Madhya Pradesh	Malanjkhanda Copper Mine	479.90
5	Jharkhand	Surda Copper Mine	388.68
6		Kendadih Copper Mine	1139.60
7		Rakha Copper Project	785.091

HCL is Country's only vertically integrated producer of refined copper from indigenous sources. Major activities of HCL are mining, ore beneficiation, smelting, refining and casting of refined copper metal into downstream products. HCL has underground mines at Khetri Nagar, Rajasthan; open cast mine at Malanjkhanda, Madhya Pradesh; underground mine and smelter-refinery plant at Ghatsila, Jharkhand; continuous cast copper rod plant at Taloja, Maharashtra and a secondary copper producing plant at Jhagadia, Gujarat.

The Company produces and markets metal in concentrate (MIC), copper cathodes, continuous cast copper wire rods and by-products such as copper sulphate, slime, revert and sulphuric acid.

Annual turnover of HCL in the year 2018-19 was INR 175.33 million.

In the Eastern part of India, HCL has its unit namely, Indian Copper Complex (ICC) located at Ghatsila, Jharkhand, where Rakha and Chapri – Sideshwar copper deposit exist.

The brief description of Rakha and Chapri – Sideshwar copper deposit are as below:

Location of Rakha and Chapri – Sideshwar copper deposit:

Rakha and Chapri – Sideshwar copper deposit is located in Singhbhum Copper Belt at a distance of about 15 and 16 km from Ghatsila Railway station on Howrah – Mumbai main line respectively. Rakha and Chapri – Sideshwar copper deposit is about 14 km and about 11 km from Moubhandar Smelter and township of HCL respectively. It is well connected by blacktopped road with Kolkata, capital of West Bengal, – Ranchi NH No. – 33 (distance from Kolkata about 230 km).

A. Rakha Mine:

1. Location:

The nearest Railway Station is Rakha mines. This mine is located 5.0 km away from Kendadih mine.

2. Present Status of the mine:

Mining operation of Rakha mine was suspended by HCL in July 2001. The mine is currently waterlogged and water level is approximately 30 m from surface.

All the surface installations including concentrator plant have been removed except some important infrastructures like administrative building, compressor house etc. but require refurbishment.

3. Status of Statutory Clearances of Rakha Mine:

Environment Clearances (EC) from Ministry of Environment, Forest and Climate Change (MoEFCC), Government of India, for Rakha has been obtained on 01.08.2014. Stage II Forest Clearance (Stage II FC) for the project has been obtained on 15.09.2016.

4. Extent of strike length, Depth and access of Rakha Mine:

The mine working extends over a strike length 1,300 m and depth up to 200 m, i.e. 7th level with vertical level interval of 35.0 m. The mine was accessed and developed by incline & vertical shafts with winzes.

B. Chapri-Sideshwar copper deposit:

1. Location:

The Chapri and Sideshwar blocks are adjacent to each other having a common boundary and are located between Rakha and Kendadih Mines.

2. Present Status of the mine:

This is a virgin block. Chapri and Sideshwar blocks will be exploited combine through Chapri-Sideshwar mine. An underground mine will be developed for a depth of about 400 m from surface. Initially in Phase – I, the mine will be developed up to 9 L (35 m Level difference) and production development up to 6 L.

3. Status of Statutory Clearances of Chapri and Sideshwar blocks:

This is part of Rakha and Kendadih Mining Lease. Environment Clearances (EC) from Ministry of Environment, Forest and Climate Change (MoEFCC), Government of India, for Kendadih mining lease has been obtained on 20.01.2015. Stage II Forest Clearance (Stage II FC) for the project has been obtained on 28.11.2016.

5. Extent of strike length, Depth and access of Chapri and Sideshwar blocks:

The Chapri-Sideshwar block is located between Rakha and Kendadih Mines, having a strike length of 1700 m (Chapri) and 2250 m (Sideshwar) to give a total strike length of 3950 m and extend to a depth of 400 m. Chapri contains the highest content of copper per metre of strike length out of any of the Singhbhum copper belt deposits including Mosaboni. The copper mineralization is, however, located in several lode structures.

C. Resource of Rakha and Chapri – Sideshwar copper deposit:

The resource as per JORC as on September, 2010 for Rakha and Chapri – Sideshwar copper deposit is as below (ref in HCL website https://www.hindustancopper.com/Content/PDF/August_2019.pdf :

Particulars	Resource (in million tonne)
Rakha	73.98 Mt @ 0.93 % Cu
Chapri-Sideshwar	63.57 Mt @ 1.13 % Cu

D. New Concentrator Plant:

HCL is in the process of obtaining necessary statutory clearance for new Concentrator Plant.

Objective of HCL:

HCL desires to appoint well-established, technically competent and financially sound mine developed cum operator who can carry out the Mine Development & Operations (MDO) works for re-opening & expansion of Rakha Copper Mine to produce approximately 1.5 million tonne to 2.5 million tonne copper ore per annum, Development of a new underground copper mine at Chapri-Sideshwar to produce approximately 1.5 million tonne to 2.5 million tonne copper ore

per annum and commissioning of a new matching Concentrator Plant at Ghatsila in East Singhbhum district of Jharkhand State.

Production capacity:

The firm shall be required to make the mine and beneficiation plant operational at his own cost and to mine at its optimal capacity and beneficiate the ore as per established standards. The firm shall produce approximately 1.5 million tonne copper to 2.5 million tonne ore per annum from Rakha Copper Mine and approximately 1.5 million tonne to 2.5 million tonne copper ore per annum by developing a new underground copper mine at Chapri. The whole operation shall be carried out on mutually acceptable terms and conditions on long term basis. The copper concentrate should be minimum 25% copper grade.

Brief work of MDO:

1. To produce initially 1.5 million tonne to 2.5 million tonne copper ore per annum from Rakha Copper Mine by reopening and developing,
2. To produce initially 1.5 million tonne to 2.5 million tonne per annum by developing a new underground copper mine at Chapri,
3. To produce metal in concentrate (MIC) by setting up a new Concentrator Plant of matching capacity,
4. Total financing of the Project

Payment Terms:

Payment will be made based on per tonne of ore initially to till the commissioning of new concentrator plant and later per tonne of MIC produced and transferred to HCL after commissioning of new concentrator plant on flexible terms for long term period.

Period of MDO:

The period of MDO will be for 20 (twenty) years and can be extended for another 5 (five) years with mutual consent of HCL and the successful bidder.

Expressions of Interest (EoI) are invited from interested party/organizations for undertaking the above jobs on a turnkey basis.

Interested parties should indicate the following in their EoI:

- (i) Brief description of the organization, stating nature of business, type of Company, location and details of management and ownership.
- (ii) Experience in the related field of mining; mines owned or operated with details of production, manpower, equipment employed etc in last 7 years.

- (iii) Experience of MDO, if any, with name of the Project along with brief terms and conditions.
- (iv) Financial capability in last 3 years.

Any query may be mailed to the following:

Sh Salil Kumar Nag
Assistant General Manager (Mines)
Hindustan Copper Limited
Tamra Bhavan
1, Ashutosh Chowdhury Avenue
Kolkata 700019
Email nag_sk@hindustancopper.com
Tel: +91 33 22903007
Mobile: +91 97482 00377

Interested parties are requested to submit the above information / documents through email or in hard copy on or before 26.02.2020 to:

Shri Sree Kumar
General Manager (Mines)
Hindustan Copper Limited
Tamra Bhavan
1, Ashutosh Chowdhury Avenue
Kolkata 700019
Email sree_k@hindustancopper.com
Tel: +91 33 22805629
Mobile: +91 94251 38696

On receipt of above required documents, a Pre-Application Conference will be held at Corporate Office, Tamra Bhavan, 1, Ashutosh Choudhury Avenue, Kolkata 700 019, West Bengal, India. The dates for which shall be informed in advance.

The selected bidder will be required to undertake all the activities as a composite work at his own cost. It is made clear that HCL will not spend or contribute any cash at any stage in any manner for development and operation of this project.

The management reserves the right to reject all or any of the applications without assigning any reason thereto.

Shri Sree Kumar
General Manager (Mines)
for
Hindustan Copper Limited